Tesla, Inc.

NASDAQ: TSLA | Consumer Discretionary — EV / AI / Energy | 30 June 2026

HOLD **Fair value: scenario-dependent** | CMP: $421 (30-Jun-2026) | Rating: HOLD

Investment Summary

Tesla is the hardest name in this coverage to value, and honesty demands saying so. On FY2025 fundamentals it looks expensive to the point of absurdity: revenue fell 3% to $94.8 billion, net income dropped to $3.8 billion, EPS halved to $1.08, and the stock trades at roughly 350x trailing earnings. No conventional model on the car business gets close to a $421 share price.

That is because the market is not pricing the car business. The ~$1.35 trillion valuation is an option on autonomy (robotaxi and Full Self-Driving), the Optimus humanoid robot, and a fast-growing energy-storage franchise. Those are real but unproven, with wide, binary outcomes and timelines that keep moving.

We rate Tesla HOLD. We respect the optionality and the execution track record, but we will not underwrite a trillion-dollar autonomy narrative with a spreadsheet. This is a position sized to conviction on the story, not to the FY2025 numbers.

Snapshot

Metric	Value	Note
Market cap	~$1.35 trillion	≈3.5bn shares
FY2025 revenue	$94.8bn (−3%)	Auto pricing pressure; energy growing
FY2025 net income / EPS	$3.8bn / $1.08	Down from $2.04 in FY2024
Valuation	~350x trailing P/E	Meaningless on current earnings
What you're buying	Autonomy + Optimus + Energy	Option value, not the car P&L

FY2025 Results Review

Total revenue declined 3% to $94.8bn as automotive pricing and volumes softened, partly offset by a rapidly growing energy generation-and-storage segment (now ~$13bn) and services. Gross margin held around 18%, but operating income fell to $4.4bn and net income to $3.8bn (EPS $1.08, down from $2.04). Free cash flow was a healthier $6.2bn. The FY2025 P&L, in short, describes a maturing auto-and-energy company — while the share price describes something else entirely.

Valuation

We deliberately decline to publish a single point target, because a defensible one doesn't exist. A DCF on the auto-and-energy business as it stands supports a fraction of the current price; the balance is option value on Full Self-Driving / robotaxi economics and on Optimus reaching commercial scale — both of which are step-function, low-probability-of-precise-estimate outcomes.

The honest framing: at ~350x earnings, valuation offers no support if the autonomy timeline slips. The stock will trade on execution milestones (robotaxi rollout, FSD safety data, Optimus units) rather than on quarterly financials. HOLD reflects that the risk-reward is a coin-flip on narrative, not a mispricing we can quantify.

Key Risks

- Automotive demand and margin pressure in a competitive EV market.
- Autonomy timelines (robotaxi/FSD) slipping — the core of the valuation.
- Optimus commercialisation risk (unproven at scale).
- Extreme valuation: no earnings support if sentiment turns.
- Key-person and political/brand risk.

Company Overview

Tesla designs and sells electric vehicles, energy generation and storage systems, and is developing autonomous-driving software (FSD/robotaxi) and the Optimus humanoid robot. It is the most valuable automaker in the world by a wide margin, with a valuation that reflects expectations for autonomy and robotics far more than its current vehicle-and-energy earnings.

Disclaimer

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